Questions are being raised regarding the fate of over 320 million investors worldwide and the $30 billion (almost Rs 2.4 lakh crore) investments made in 2021 alone if the industry were to collapse altogether. Doubts have also been expressed over the real potential of the industry that promised to make financial transactions cheaper, efficient and more transparent. The incident could even prompt lawmakers in some countries to ban cryptos, bringing down the curtain on what would have been yet another new experiment in the financial world.

But that could still be some way off. Although crypto markets fell on the news of the FTX collapse, the direct impact seems contained within investors and fund managers. The rest seem to be waiting and watching the developments with caution. The continuing crypto winter seems to be weighing on the sentiments of investors. "Ever since the bear market in crypto started a few months ago, I haven't even looked at the app dashboard," says Saksham Jain, 25, a crypto investor based in Aligarh, Uttar Pradesh. "I am just holding on to what I had, so I won't buy or sell for the next 1-1.5 years." Jain has invested around Rs 45,000 in the crypto market.

POWERED BY EASY MONEY

The world of cryptos had caught the fancy of investors like Jain during the pandemic when trading in the currency reached frenzied heights as the market boomed, supported by cheap funds from the big financial stimulus that poured into large economies of the world as they battled Covid-19. While the concept of currencies outside the centralised banking system of countries emerged over a decade ago, during the Lehman Brothers crisis in 2008, few countries have allowed their use as legal tender. However, cryptos are extensively used to trade for profit on online platforms. As of December 2021, as many as 15-20 million Indians invested around $6 billion (Rs 49,090 crore) in cryptos on digital platforms, say industry players. There are nearly 40 crypto exchanges in India, big and small, that vie with each other to lure potential investors, especially the youth. The industry employed 50,000, said Nasscom last year, and had the potential to create over 800,000 jobs by 2030.

But such hopes seem to be too far-fetched right now, triggered by the FTX collapse. FTX, along with 130 other entities, filed for bankruptcy following revelations of suspicious bets and trades leading to a run on the exchange and investigations of fraud. Customers began to demand withdrawals to the tune of $6 billion. Meanwhile, an attempt by Binance, the world's largest crypto exchange, to acquire FTX fell through. In 2019, Binance had invested as a shareholder in FTX, and reportedly held 5 per cent in the firm. It exited that shareholding last year and received $2.1 billion (Rs 17,000 crore) in Binance's own stablecoin (BUSD) and in FTT tokens, the cryptocurrency of FTX, as part of the deal, say media reports. Going against its own terms of service, FTX lent $8 billion (Rs 65,344 crore) worth of its customers' assets to Alameda Research, a trading firm specialising in cryptocurrencies owned by Bankman-Fried, say media reports. In return, FTX accepted its own digital tokens as collaterals. FTX has also been accused of siphoning off millions of dollars from the company's accounts. FTX said in its bankruptcy petition that it has $10 billion (Rs 81,680 crore) to $50 billion (over Rs 4 lakh crore) in liabilities and more than 100,000 creditors.

The lack of regulations around cryptos makes it impossible to gauge the number of Indian investors impacted by the crash, but it had a ripple effect across cryptocurrencies and crypto exchanges worldwide. Media reports last week said that Polkadot Currency, which was introduced in November 2021, had dropped nearly 85 per cent post the FTX fiasco and Bitcoin, which hit over $63,000 in April 2021, was down nearly 75

FALLING CRYPTO GRAPH

TOP 10 CRYPTOS BY MARKET CAP

Overall crypto market capitalisation fell from over $1 trillion (Rs 82 lakh crore) on November 6 to $781.4 billion (Rs 63.9 lakh crore) on November 22 following the FTX collapse

	Price	7-day growth/fall %	Market cap ($ billion)
BITCOIN	$15,791.97	▼6.29%	$303.43
ETHEREUM	$1,094.03	▼13.55%	$133.88
TETHER	$0.9991	▲0.01%	$65.44
USD COIN	$1.00	▲0.02%	$44.07
BNB	$256.43	▼7.28%	$41.02
BINANCE USD	$1.00	▼0.04%	$22.79
XRP	$0.3635	▼5.03%	$18.28
CARDANO	$0.3027	▼10.86%	$10.42
DOGECOIN	$0.07505	▼14.00%	$9.96
POLYGON	$0.8295	▼12.02%	$7.25

Data as on Nov. 22, 2022; 7 pm

Source: coinmarketcap.com